

Line 3

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF SANTA CLARA**

R. T., an individual,

Plaintiff,

v.

COUNTY OF SANTA CLARA, and DOES
through 25, inclusive,

Defendants.

Case No. 19CV358022

**[Tentative] ORDER GRANTING
DEFENDANTS' MOTION FOR
SUMMARY ADJUDICATION**

Before the Court is Defendant, County of Santa Clara's motion for summary judgement, or in alternative, summary adjudication. Pursuant to California Rule of Court 3.1308, the Court issues its tentative ruling.

I. Alleged Facts

According to the FAC, beginning in or about 1973, the County placed Plaintiff R.T. in foster care for approximately five years. (FAC, ¶ 21.) He was placed in the custody, care, and control of foster mom, Petra Rodriguez. Petra was approved, licensed, trained, supervised, and/or compensated by the County. (FAC, ¶22.) During his placement, Plaintiff was repeatedly sexually assaulted and abused by Petra. (FAC, ¶ 23.) Petra had care, custody, and control of multiple minors in addition to Plaintiff, including two of his siblings. (FAC, ¶ 24.) Petra sexually abused those other children, as she did Plaintiff, which was reported to the County, who placed the other children with Petra. Plaintiff's biological mother reported that Plaintiff was being sexually abused by Petra, but

1 the County failed to remove Plaintiff from the home and take remedial action, which permitted the
2 abuse to continue. (FAC, ¶ 24.)

3 Plaintiff initiated this action on June 18, 2021, and subsequently amended his complaint on
4 September 9, 2021, alleging a negligence claim against the County and a negligence claim against
5 Does 2-25.

6 II. Legal Standard

7 In evaluating a motion for summary judgment or summary adjudication the court
8 engages in a three-step process. The court first identifies the issues framed by the pleadings. The
9 pleadings define the scope of the issues on a motion for summary judgment or summary
10 adjudication. (*FPI Dev. Inc. v. Nakashima* (1991) 231 Cal. App. 3d 367, 381-382). Because a
11 motion for summary judgment or summary adjudication is limited to the issues raised by the
12 pleadings (*Lewis v. Chevron* (2004) 119 Cal. App. 4th 690, 694), all evidence submitted in support
13 of or in opposition to the motion must be addressed to the claims and defenses raised in the
14 pleadings. An issue that is “within the general area of issues framed by the pleadings” is properly
15 before the court on a summary judgment or summary adjudication motion. (*Lennar Northeast
16 Partners v. Buice* (1996) 49 Cal. App. 4th 1576, 1582-1583.) The court cannot consider an
17 unpleaded issue in ruling on motion for summary judgment or adjudication. (*Roth v.
18 Rhodes* (1994) 25 Cal.App.4th 530, 541.) The papers filed in response to a defendant’s motion for
19 summary judgment may not create issues outside the pleadings and are not a substitute for an
20 amendment to the pleadings. (*Tsemetzin v. Coast Federal Savings & Loan Assn.* (1997) 57
21 Cal.App.4th 1334, 1342.)

22 The court is next required to determine whether the moving party has met its burden. A
23 defendant moving for summary judgment bears the burden of persuasion that one or more
24 elements of the plaintiff’s cause of action cannot be established, or that there is a complete
25 defense to the cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal 4th 826, 850,
26 quoting Code. Civ. Proc. §437c(p)(2)). A defendant is not required to conclusively negate one or
27 more elements of the plaintiffs cause of action; (*Saelzer v Advance, Group 400* (2001) 25 Cal.4th
28 763, 780-781). Rather, to meet its burden, the defendant is required only to show that the

1 plaintiff cannot prove an element of its cause of action, i.e., that the plaintiff does not possess and
2 cannot reasonably obtain evidence necessary to show this element. (*Aguilar, supra*, at pp. 853-
3 855).

4 If the moving party meets its burden, the burden shifts to the opposing party to show that
5 a material factual issue exists as to the cause of action alleged or a defense to it. (Code Civ. Proc.
6 § 437c(p); *Bush v. Parents Without Partners* (1993) 17 Cal. App. 4th 322, 326-327). In ruling on
7 the motion, the court must consider the evidence and inferences reasonably drawn from the
8 evidence in the light most favorable to the party opposing the motion. (*Aguilar, supra*, at p. 843.)

9 **III. Request for Judicial Notice**

10 County asks the Court to take judicial notice of the Declaration of Custodian of Records,
11 Social Services Agency, and various statutes with legislative history, attached as Exhibits D, H, I,
12 J, K to Mr. Botha's declaration.

13 The Court GRANTS the request to judicially notice the statutes but DENIES judicial notice
14 of the Declaration.

15 **IV. Analysis**

16 "To succeed in a negligence action, the plaintiff must show that (1) the defendant owed
17 the plaintiff a legal duty, (2) the defendant breached the duty, and (3) the breach proximately or
18 legally caused (4) the plaintiff's damages or injuries." (*Thomas v. Stenberg* (2012) 206 Cal.App.4th
19 654, 662.) As a general matter, there is no duty to protect against the criminal conduct of a third
20 party, but an important exception exists when there is a special relationship between the plaintiff
21 and defendant. (*Barenborg v. Sigma Alpha Epsilon Fraternity* (2019) 33 Cal.App.5th 70, 76.) "[A]
22 typical setting for the recognition of a special relationship is where "the plaintiff is particularly
23 vulnerable and dependent upon the defendant who, correspondingly, has some control over the
24 plaintiff's welfare."" (*Regents of University of California v. Superior Court* (2018) 4 Cal.5th 607,
25 621.) There is no dispute that a foster child is in a special relationship with the agency that
26 provides his or her care. (See *Doe v. Los Angeles County Dept. of Children & Family Services* (2019)
27 37 Cal.App.5th 675, 683; *Doe v. United States Youth Soccer Assn., Inc.* (2017) 8 Cal.App.5th 1118,
28 1129.) Once a special relationship is established, the court must look to the factors set forth in

1 *Rowland v. Christian* (1968) 69 Cal.2d 108, to decide whether they require creating an exception
2 to the duty of care at issue. (*Brown v. USA Taekwondo* (2021) 11 Cal.5th 204, 209.) The *Rowland*
3 factors include “the foreseeability of harm to the plaintiff, the degree of certainty that the plaintiff
4 suffered injury, the closeness of the connection between the defendant's conduct and the injury
5 suffered, the moral blame attached to the defendant's conduct, the policy of preventing future
6 harm, the extent of the burden to the defendant and consequences to the community of imposing
7 a duty to exercise care with resulting liability for breach, and the availability, cost, and prevalence
8 of insurance for the risk involved.” (*Rowland, supra*, 69 Cal.2d 108 at p. 113.) “[C]ase-specific
9 foreseeability questions [and not actual knowledge of abuse] are relevant in determining the
10 applicable standard of care or breach in a particular case. They do not, however, inform our
11 threshold determination that a duty exists.” (Regents, *supra*, 4 Cal.5th at p. 630.)

12 Under *Rowland*, the court must examine whether it was foreseeable that the category of
13 negligent conduct was likely to result in the type of harm alleged. In this context, the court must
14 conclude it was sufficiently foreseeable that the failure by the County to inquire or investigate
15 when a suggested abuse had occurred makes it appropriate to impose a duty to protect.
16 Additionally, the certainty of harm factor in childhood sexual abuse, in the form of significant
17 emotional trauma, is well documented. (See, *Brown v. USA Taekwondo* (2019) 40 Cal.App.5th
18 1077, 1098.)

19 Here, Defendant contends it had no duty to protect Plaintiff from the alleged sexual abuse
20 of Petra Gonzales because (1) there is no evidence Plaintiff was legally placed in a foster home,
21 (2) it is undisputed that no court proceedings took place by which Plaintiff was placed into foster
22 care, (3) it is undisputed that Petra was Plaintiff's godmother and Plaintiff came to live with her
23 via a private, informal arrangement between his mother and Petra, and (4) it is undisputed that
24 Plaintiff's placement in Petra's home was not precipitated by abuse or neglect by his mother,
25 Maria.

26 Defendant alternately contends that even if a special relationship with Plaintiff is found,
27 no duty to protect Plaintiff arose since (1) it is undisputed that the County had no role in Plaintiff's
28 mother's decision to let Petra care for him in November 1973, (2) Plaintiff's parents, who lived

1 with Petra on and off prior and during the placement of Plaintiff, trusted her to be his godmother,
2 and (3) Petra's alleged sexual abuse was not foreseeable due to lack of history.

3 In support of its position, County submits the following evidence:

- 4 1. Exhibit B, Excerpts from Maria's deposition transcript including testimony that:
5 she met Petra in 1971 through Plaintiff's father who chose Petra to be his
6 godmother. In November 1973, she learned of a serious car accident in Mexico
7 that killed Plaintiff's father and seriously injured his younger brother Jose. As a
8 result, Maria left Plaintiff in Petra's care and made emergency travel to Mexico.
9 Petra agreed to care for Plaintiff. No one accused Maria of not being able to
10 properly care for her sons. No one accused Maria of abusing her sons. The police
11 never showed up at Maria's house. Maria did not appear in court, and no one
12 threatened to remove her sons from her custody. She never went through any
13 governmental process by which her sons were placed in Petra's care. She did not
14 receive or sign any documents from court. Similarly, she did not have to go
15 through any legal proceedings or sign any documents for the return of her sons.
16 There was no investigation into her ability to care for her children. (Maria Depo.
17 pp 42:16-24, 44:11-12, 53:14-56, 115:16-116:10, 73:1-12, 113:24-114:4;
18 182:22-25, 181:15-182:18; Statement of Undisputed Material Facts ("SUMF")
19 Nos. 1, 3, 5, 12, 13)
- 20 2. Exhibit C to Botha's declaration – Plaintiff's Responses to Request for Production
21 Nos. 41, 45, 48; and SUMF 14.
- 22 3. Exhibit D to Botha's declaration – Clerk's affidavit in the matter of R.T. and SUMF
23 15, which certifies no documents pertaining to Plaintiff were found in
24 Department of Family & Children's Services, Social Services Agency, for the
25 County of Santa Clara.
- 26 4. Exhibit E to Botha's declaration – Plaintiff's Responses to Special
27 Interrogatories, set one.
- 28 5. Exhibit F to Botha's declaration – excerpts from deposition of Guadalupe Avila.
6. Exhibit G to Botha's declaration – Plaintiff's Responses to Special
Interrogatories, set two.
7. Exhibit H to Botha's declaration - correct copy of California Statutes, Chapter
1068 of 1976, which enacted Welfare and Institutions Code section 328 that
took effect on January 1, 1977, downloaded from the public website of the
California State Assembly, Office of the Chief Clerk, at:
<https://clerk.assembly.ca.gov/historical-information/archive-list/statutes->

and-amendments-codes-1976?field_archive_type_value=Statutes.

8. EXHIBIT I to Botha's declaration - correct copy of California Statutes, Chapter 1068 of 1976, which enacted Welfare and Institutions Code section 300 that took effect on January 1, 1977, downloaded from the public website of the California State Assembly, Office of the Chief Clerk, at: https://clerk.assembly.ca.gov/historical-information/archive-list/statutes-and-amendments-codes-1976?field_archive_type_value=Statutes.
9. EXHIBIT J to Botha's declaration - correct copy of California Statutes, Chapter 69 of 1968, which enacted Welfare and Institutions Code section 16504 that took effect as of January 1, 1973, downloaded from the public website of the California State Assembly, Office of the Chief Clerk, at: https://clerk.assembly.ca.gov/historical-information/archive-list/statutes-and-amendments-codes-1968?field_archive_type_value=Statutes
10. EXHIBIT K to Botha's declaration - correct copy of Chapter 1203 of 1973, which enacted Health and Safety Code section 1522 that took effect on January 1, 1974, downloaded from the public website of the California State Assembly, Office of the Chief Clerk, at: https://clerk.assembly.ca.gov/historical-information/archive-list/statutes-and-amendments-codes-1973?field_archive_type_value=Statutes.
11. Declaration of Dana Foster (custodian of record for County of Santa Clara Department of Family and Children's Services) and SUMF 16 -attesting she was unable to locate any records pertaining to Plaintiff either because no records existed or have been purged due to age.
12. Declaration of Mike Simms (custodian of Records for the County of Santa Clara Department of Probation) - attesting he was unable to locate any records pertaining to Plaintiff either because no records existed or have been purged due to age.
13. Declaration of Fattima Contreras (custodian of Records for County of Santa Clara personnel records) attesting there are no records showing Toni Bias is or has ever been the County's employee.
14. Declaration of Guadalupe Avila (retired social worker) attesting she began working for the County of Santan Clara on June 30, 1975, until December 15, 1986. She did not work with anyone named Toni Bias and does not recognize the name. She received extensive training in how to deal with abused children. In the 1970s-time frame, if she had received a report of suspected child abuse,

1 she would have reported it to law enforcement, to foster parent licensing, to my
2 supervisor, and to any social workers for other children in the home. She would
3 never have ignored the report of suspected abuse. She would never have simply
4 reassured the reporting party that “everything is all right,” without taking
immediate action to protect the child.

5 15. Exhibit A, Excerpts from Deposition transcript of R.T. testifying: He never
6 appeared in court and never saw any court documents about placement in the
7 foster home. (R. T. Depo pp 91:14-19, 91:23-92:5; SUMF 12.)

8 Based on the above evidence, no documentary evidence of a foster care placement exists—
9 not from the Court, not from the County, and not from Plaintiff. In addition, the required attributes
10 of such a placement— removal from biological parents due to abuse or neglect, juvenile court
11 proceedings, and notice to the mother of ongoing court hearings—are entirely absent here. And an
12 informal arrangement between Plaintiff’s parent and Plaintiff’s godmother does not create a special
13 relationship and/or an enforceable legal duty by the County. (See, *Maggie S. v. Super. Ct.* (2013) 220
14 Cal.App.4th 662, 666, 672; *In re Kerns’ Guardianship* (1946) 74 Cal.App.2d 862, 868.)

15 The burden thus shifts to Plaintiff to establish Defendant’s duty. In support of its argument
16 that County had a duty to protect, Plaintiff submits the following evidence:

- 17 1. Exhibit 1 to Lafrades declaration – excerpts from Plaintiff’s deposition.
- 18 2. Exhibit 2 to Lafrades declaration – excerpts from Sylvia Mariscal’s deposition
19 wherein she testifies: Plaintiff’s parents lived in the back of their house prior
20 to the accident that killed Plaintiff’s father in November of 1973.
21 Immediately after the accident, Plaintiff’s mother (Maria) left Plaintiff with
22 Petra to go to Mexico. After the accident, Maria sent Plaintiff’s younger
23 brother, Jose, to Petra to care for. After coming back from Mexico, Maria lived
24 in Petra’s house with her sons for approximately one year. She then moved
25 out leaving her son Cesar to be cared for by Petra. Petra helped raise a lot of
26 children in her home and there were other children in her house in addition
27 to Plaintiff and his brothers. Silvia was a 14-year-old single mom at the time
28 and lived in Petra’s house. She was homeschooled and helped her mother
with the care of Plaintiff and his brothers. In 1973 and shortly after Petra’s
passing, she saw some paperwork that had her parents name as foster
parents and the name of Plaintiff and his brothers. However, she did not read
this document. In 1973, social worker Toni Bias would take Plaintiff and his
brothers out to movies and parks 2-3 times a week. Social worker Guadalupe
Avila starts coming to their house about a year after and she would visit once

1 every 2-3 months. Ms. Avila would talk to Petra, Plaintiff and Maria (when
2 she was present in the house). She didn't know what was discussed because
3 she had to leave the room with the other kids. After Maria moved out of their
4 house, she would come to the house and take the children for the weekend.
5 In May 1978, Maria just came to the house and without any prior notice or
6 discussion, took her sons without returning them. She was mostly in charge
7 of caring for and bathing Plaintiff and his brothers because her mother had
8 health issues. She never saw her mother physically or sexually abuse
9 Plaintiff. Maria never complained to her that the boys were abused. She
10 doesn't know if her parents were certified foster parents because she didn't
11 see any paperwork. Maria left the children with Petra because she was their
12 godmother. (Sylvia Mariscal's Depo. Pp. 32, 33:19-24, 35, 38-39, 41, 42, 45-
13 46, 48, 54, 60, 74, 74, 77, 79, 158, 173.)

14 3. Exhibit 3 to Lafrades declaration – excerpts from Maria Topete deposition.

15 4. Exhibit 4 to Lafrades declaration – County's Responses to Request for
16 Documents, set one.

17 Plaintiff contends lack of documentation establishing County's legal custody and placement
18 of Plaintiff in Petra's foster care are irrelevant considering Mariscal's testimony that she saw some
19 paperwork that included Plaintiff's name and referred to her parents as foster parents. Plaintiff adds
20 that Plaintiff's mother could have received legal and court documents, which she would not have
21 recognized since she did not speak or read English.

22 Plaintiff's arguments and evidence are insufficient to satisfy their burden. Plaintiff does not
23 dispute that his mother voluntarily placed him in Petra's care, nor does he dispute that she
24 voluntarily removed him from her care five years later. Plaintiff does not dispute that a County-
25 supervised foster placement is a formal legal process governed by statutes and regulations. Plaintiff
26 does not dispute that, among other legal requirements, a County-supervised foster placement is
27 precipitated by abuse or neglect of a minor. (Plaintiff's Response to SUMF Nos. 2-3, 10, 11.) Nor does
28 Plaintiff present any evidence negating County's evidence showing it never hired Toni Bias and
Guadalupe Avila did not begin her employment until June 30, 1975.

Speculating that Plaintiff's mother could have received legal documents cannot create a
triable issue of fact because speculation is not evidence. (*McHenry v. Asylum Ent. Delaware, LLC*
(2020) 46 Cal.App.5th 469, 479.) Similarly, speculation that some paperwork (content unknown)

1 that bore Plaintiff's name and referred to Petra and her husband as foster parents was a legal
2 document is insufficient to create a triable issue. Plaintiff's speculation that the legal process
3 happened, based on Plaintiff's mother's and Mariscal's informal, sparse references to "foster care,"
4 is also insufficient to create a triable issue of material fact where the record contains undisputed
5 evidence that Plaintiff came to live with Petra via an informal agreement between his mother and
6 godmother.

7 On summary judgment, once the defendant makes a prima facie showing negating an
8 element of the plaintiff's cause of action, "[t]he plaintiff must produce substantial responsive
9 evidence sufficient to establish a triable issue of fact. Responsive evidence that gives rise to no more
10 than mere speculation cannot be regarded as substantial and is insufficient to establish a triable
11 issue of material fact." (*Granadino v. Wells Fargo Bank, N.A.* (2015) 236 Cal.App.4th 411, 415,
12 internal citation omitted.)

13 Based on the foregoing, the Court concludes County did not have a special relationship with
14 Plaintiff and thus no duty to protect him from Petra's alleged sexual abuse. It is unnecessary for the
15 Court to further analyze and address County's immunity and knowledge of Petra's alleged sexual
16 assault propensity. Additionally, as to the County's mandatory duty pursuant to Welfare & Institute
17 Code §§ 328, 16504, and Health & Safety Code § 1522, it is undisputed that County did not violate
18 these laws.¹ (Plaintiff's Response to SUMF Nos. 48-50.)

19 Accordingly, Defendant's motion for summary judgment is GRANTED.
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23 Date: _____

24 Hon. Evette D. Pennypacker
25 Santa Clara Superior Court Judge
26
27
28

¹ Pursuant to February 8, 2022, Stipulation and Order, allegations based on Welf. & Inst. Code §16501(f), Penal Code sections, and Child Welfare Services Manual section were stricken from the first amended complaint.

Line 5

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF SANTA CLARA**

TBF FINANCIAL I, LLC, limited liability
company,

Plaintiff,

v.

LEGEND LEARNING AND FAMILY RESOURCE
CENTER, INC., corporation; and DOES
through 50, inclusive,

Defendants.

Case No. 23CV427050

**[Tentative] ORDER RE
DEFENDANT'S MOTION FOR
SUMMARY JUDGMENT**

Legend Learning and Family Resource Center's ("Defendant" or "Legend") motion for summary judgment comes on for hearing before the Court on February 27, 2025. Pursuant to California Rule of Court 3.1308, the Court issues its tentative ruling.

I. Alleged Facts

This is an action for breach of contract arising out of Legend's purported failure to pay \$10,935 (plus 18 percent interest per annum from June 2, 2020, onward) due under an equipment finance lease agreement. (Complaint, ¶¶ 4, 11; Exh. A – Total Image Management Master Agreement ("Agreement"); see also Exh. B – Accounting Statement).

According to the Complaint, on February 11, 2020, Legend entered the Agreement with Pacific Office Automation, Inc. ("Pacific"), and Pacific "fully performed all the terms and conditions" of the Agreement. (Complaint, ¶¶ 4-5.) Immediately after Legend and Pacific signed the Agreement, Pacific "assigned and transferred" to First Citizens Bank & Trust Company ("First Citizens") all its "rights, title and interest in and to the Agreement." (Complaint, ¶ 6.) On June 2, 2020, Legend defaulted on its obligations by failing to make payments due under the Agreement. (Complaint, ¶ 7, Exh. B – Accounting Statement.) Despite First Citizens' demands for payment, Legend failed and refused to pay the outstanding balance due. (Complaint, ¶ 8.) Approximately two years later, First Citizens assigned "for valuable consideration, all of its right, title, and interest in and to the Agreement" to TBF Financial I, LLC, a limited liability company ("Plaintiff" or "TBF"). (Complaint, ¶¶ 9-10.) Defendant failed to pay the principal \$10,935 or interest despite Plaintiff's demands. (Complaint, ¶ 12.)

Plaintiff filed the Complaint on December 4, 2023, asserting breach of contract. On November 27, 2024, Legend filed this motion for summary judgment, which Plaintiff opposes.

II. Defendant's Evidentiary Objections

Defendant's objections to the Brett Boehm Declaration are not in the proper format, thus the Court need not rule on them. (*Vineyard Spring Estates v. Superior Court* (2004) 120 Cal.App.4th 633, 642 [trial courts have duty to rule on evidentiary objections only if presented in proper format]; *Hodjat v. State Farm Mutual Automobile Ins. Co.* (2012) 211 Cal.App.4th 1 [trial court not required to rule on objections that do not comply with Rule of Court 3.1354 and not required to give objecting

1 party a second chance at filing properly formatted papers].) California Rules of Court, Rule
2 3.1354(c) requires the filing of two documents: evidentiary objections and a separate proposed
3 order on the objections, and both must be in one of the two approved formats set forth in the Rule.
4 Defendant filed a single document listing objections and signed by counsel with no place for a
5 judge’s signature and for the Court to checkmark its rulings. This is insufficient per Rule 3.1354(c).²

6 **III. Legal Standard**

7 Any party may move for summary judgment. (Code Civ. Proc., § 437c, subd. (a); *Aguilar v.*
8 *Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar*).) The motion “shall be granted if all the
9 papers submitted show that there is no triable issue as to any material fact and that the moving party
10 is entitled to a judgment as a matter of law.” (Code Civ. Proc., 437c, subd. (c); *Aguilar, supra*, 25
11 Cal.4th at p. 843.) The object of the summary judgment procedure is “to cut through the parties
12 pleading” to determine whether trial is necessary to resolve the dispute. (*Aguilar, supra*, at p. 843.)

13 “A defendant seeking summary judgment must show that at least one element of the cause of
14 action cannot be established, or that there is a complete defense to the cause of action...The burden
15 then shifts to the plaintiff to show there is a triable issue of material fact on that issue.” (*Alex R.*
16 *Thomas & Co. v. Mutual Service Casualty Ins. Co.* (2002) 98 Cal.App.4th 66, 72, internal citations
17 omitted; emphasis added.)

18 When a defendant moves for summary judgment, “its declarations and evidence must either
19 establish a complete defense to plaintiff’s action or demonstrate the absence of an essential element
20 of plaintiff’s case. If plaintiff does not counter with opposing declarations showing there are triable
21 issues of fact with respect to that defense or an essential element of its case, the summary judgment
22 must be granted.” (*Gray v. America West Airlines, Inc.* (1989) 209 Cal.App.3d 76, 81.)

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24
25 ² Defendant also argues Plaintiff’s separate statement is procedurally defective. “An opposing party who contends that
26 a fact is disputed must state, on the right side of the page directly opposite the fact in dispute, the nature of the dispute
27 and describe the evidence that supports the position that the fact is controverted. Citation to the evidence in support
28 of the position that a fact is controverted must include reference to the exhibit, title, page, and line numbers.” (Cal. Rules
of Court, rule 3.1350(f)(2).) While the Court agrees Plaintiff’s separate statement is lacking, it is substantially compliant,
and the Court will not deny the motion on this ground. (Code Civ. Proc., § 437c, subd. (b)(3), (failure to comply “may
constitute a sufficient ground, in the court’s discretion, for granting the motion”).)

1 If the moving party makes the necessary initial showing, the burden of production shifts to
2 the opposing party to make a *prima facie* showing of the existence of a triable issue of material fact.
3 (Code Civ. Proc., 437c, subd. (c); *Aguilar, supra*, 25 Cal.4th at p. 850.) A triable issue of material fact
4 exists “if, and only if, the evidence would allow of reasonable trier of fact to find the underlying facts
5 in favor of the party opposing the motion in accordance with the applicable standard of proof.”
6 (*Aguilar, supra*, at p. 850, fn. omitted.) If the party opposing summary judgment presents evidence
7 demonstrating the existence of a disputed material fact, the motion must be denied. (*Id.* at p. 843.)

8 Throughout the process, the trial court “must consider all of the evidence and all of the
9 inferences drawn therefrom.” (*Aguilar, supra*, 25 Cal.4th at p. 856.) The moving party’s evidence is
10 strictly construed, while the opponent’s is liberally construed. (*Id.* at p. 843.)

11 Pursuant to Code of Civil Procedure section 437c, Legend moves for summary judgment to
12 Plaintiff’s sole claim for breach of contract in her Complaint.

13 **IV. Analysis**

14 “To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract,
15 (2) the plaintiff’s performance of the contract or excuse for nonperformance, (3) the defendant’s
16 breach, and (4) the resulting damage to the plaintiff.” (*Richman v. Hartley* (2014) 224 Cal.App.4th
17 1182, 1186; see also CACI, No. 303.) Defendant does not dispute that its employee, Lydia Liu, entered
18 the Agreement on February 11, 2020, that the goods were delivered, and that it did not pay the full
19 contract amount for the goods. The sole dispute is whether Liu had actual or ostensible authority to
20 bind the Defendant when she signed the Agreement such that the contract is enforceable against
21 it. An agent may bind a principal to a contract if the agent has either actual or ostensible authority to
22 do so or, if the agent is unauthorized to do so, the principal ratifies the agent’s unauthorized action.
23 (Civ. Code, §§ 2307 & 2330.)

24 **A. Actual Authority**

25 Actual authority “is such as a principal intentionally confers upon the agent, or intentionally,
26 or by want of ordinary care, allows the agent to believe himself to possess.” (Civ. Code, § 2316.) Thus,
27 actual authority can be express or implied. (*Ibid.*) To meet its initial burden to demonstrate actual
28 authority, Defendant proffers the following facts:

- 1) Article V of Legend's Bylaws provides: Only the President (or Chief Executive Officer) and other officers explicitly authorized by the Board of Directors have the authority to bind the corporation by entering into contracts. Contracts exceeding \$10,000 or more involving obligations lasting more than one year require prior approval by a majority vote of the Board of Directors (Undisputed Material Facts ("UMF") No. 3; Declaration of Paul Chan ("Chan Decl."), ¶ 4, Exh. A – Resolution and Bylaws);
- 2) Article V further provides: No other officer, employee, or agent of the corporation shall have authority to bind the corporation unless expressly authorized by resolution of the Board. Unauthorized actions by any officer, employee, or agent will not bind the corporation unless formally ratified by the Board of Directors (UMF No. 4; Chan Decl., ¶ 4, Exh. A);
- 3) In 2020, Legend employed Liu as center director for its Learning Center, and her written job description required her to report to the Executive Director (Jodith Cheung) on all staff purchase requests over \$50. (UMF Nos. 2, 7, 9; Chan Decl., ¶ 3; Declaration of Jodith Cheung ("Cheung Decl."), ¶¶ 3-4, Exh. C – Liu Job Description);
- 4) Liu failed to follow the bylaw or job description requirements before she signed the Agreement. (UMF Nos. 10, 15; Cheung Decl., ¶ 5; Chan Decl., ¶ 7); and
- 5) Legend did not know about the Agreement until its principals received a collections notice in October 2020 (UMF No. 13; Chan Decl., ¶ 5; Cheung Decl., ¶ 7).

This is sufficient for Legend to meet its initial burden.

In opposition, Plaintiff argues the lack of authority is a pretext for nonpayment; Defendant is simply "dissatisfied with the performance of the copier" (UMF No. 14 ["The printer has never been used because it has no toner and it cannot go online"]; Chan Decl., ¶ 6.) Plaintiff further argues Legend's three payments pursuant under the Agreement and retention of the copier evince Liu's authority. (Opp., p. 4:708; Declaration of Brett Boehm in Opp. (Boehm Decl.), ¶¶ 6-7, Exh. B – Accounting Statement.)

This evidence, even if considered, fails to demonstrate a triable issue of material fact as to whether Legend's employee had actual authority to bind Legend under the Agreement. Actual authority "is such as a principal intentionally confers upon the agent, or intentionally, or by want of ordinary care, allows the agent to believe himself to possess." (Civ. Code, § 2316.) Given Defendant's evidence that it communicated to Liu that she specifically did not have this authority, Plaintiff's

arguments and evidence of payments, without more, fails to create a triable issue of fact regarding actual authority.

B. Ostensible Authority

Ostensible authority is the authority of the agent which the principal causes or *allows a third person to believe* that the agent possesses. (Civ. Code, § 2317 (emphasis added).) Ostensible authority cannot be based on the agent's conduct alone; there must be evidence of conduct by the principal which causes a third party to reasonably believe the agent has authority. (*Peterson v. Securities Settlement Corp.* (1991) 226 Cal.App.3d 1445, 1452; see also *Gulf Ins. Co v. TIG Ins. Co.* (2001) 86 Cal.App.4th 422, 438-439 [stating that ostensible authority "must be established through the acts or declarations of the principal and not the acts or declarations of the agent"].)

For an agent to bind a principal to a contract based on the agent's ostensible authority, (1) "the person dealing with the agent must do so with belief in the agent's authority and this belief must be a reasonable one"; (2) "such belief must be generated by some act or neglect of the principal sought to be charged"; and (3) "the third person in relying on the agent's apparent authority must not be guilty of negligence." (*Ass'd Creditors' Agency v. Davis* (1975) 13 Cal.3d 374, 399 (*Davis*).) "No liability is incurred by the principal for acts of the agent beyond the scope of the agent's actual or ostensible authority, and a third party who deals with an agent and knows of the agency is under a duty to ascertain its scope." (*Seneca Ins. Co v. County of Orange* (2004) 117 Cal.App.4th 611, 620, internal citation omitted.)

For Legend to meet its initial burden, it must demonstrate that when Pacific entered the Agreement with Defendant's employee, authority was not "established through the acts or declarations" of Legend. (See *Davis, supra*, 13 Cal.3d at p. 399.) Legend submits evidence that neither of its principals "ever communicated to [Pacific]" that Liu had authority to sign contracts on Legend's behalf, and instead, the executive director of Legend signed a previous contract with Pacific in 2015 as "Ex Director." (MPA.MSJ, p. 6:1-7, see also UMF No. 13 ["Legend did not know of the purported contract Ms. Liu signed until its principals received a collections Notice in October 2020"]; Chan Decl., ¶ 5; Cheung Decl., ¶ 7.) Legend further asserts there is no evidence that Pacific, who is not a party to this lawsuit, made any inquiry into Liu's purported authority to sign, whether the executive director

1 was still with Legend, or why the signatory had changed. (*Ibid.*) Legend concludes that “no conduct
2 by any officer of Legend and no prior business transactions” could reasonably have led Pacific to
3 believe Liu was authorized to bind Legend to the contract, and Plaintiff provides no evidence other
4 than Liu’s signature to “create a record of ostensible authority.” (MPA.MSJ, p. 6:11-16.) This is
5 sufficient for Legend to meet its initial burden.

6 In opposition, Plaintiff points to the fact that Legend acted on the Agreement terms (by making
7 the first three payments) up until its default on June 2, 2020, which was four months after its
8 employee entered into an allegedly unauthorized contract with Pacific and retained possession of the
9 copier. (Boehm Decl., ¶¶ 6-7.) According to Plaintiff, if the Agreement, is in fact, invalid, then
10 Defendant would not have proffered evidence about the quality of the copier, made the first three
11 payments per the Agreement terms, and retained possession of the copier. (Opp., p. 4:1-8.) Rather,
12 Plaintiff argues, Legend would have repudiated the contract outright. (Opp., p. 4:1-8.)

13 The Court finds this sufficient to create a triable issue of fact.

14 First, a point of law neither party briefed is that the issue of ostensible authority is a question
15 of fact. (*Meyer v. Ford Motor Co.* (1969) 275 Cal.App.2d 90; *House Grain Co. v. Finerman & Sons* (1953),
16 116 Cal. App. 2d 485; *Thompson v. Machado* (1947) 78 Cal. App. 2d 870.) Next, while *Credit Bureau of*
17 *San Diego, Inc. v. Beach* (1956) 144 Cal.App.2d 439, 444 (*Beach*) does state “It is a general rule of law
18 that where a third person relies upon an ostensible agency, he must give evidence of similar
19 transactions in which the act of the agent was authorized or recognized” not having such evidence
20 cannot, on its own, preclude a finding of ostensible authority. For example, in a case where the
21 principal undertook acts in the third party’s presence that lead the third party to reasonably believe
22 in the agent’s authority, the lack of “evidence of similar transactions in which the act of the agent was
23 authorized or recognized” would not preclude a finding of ostensible authority. The better analysis is
24 that such evidence would support a finding of a third party’s reasonable belief in the agent’s authority,
25 but other evidence could also support such a reasonable belief.

26 Here, Defendant made payments on and kept the goods. While Defendant complains that
27 the evidence of payment is inadmissible, Defendant does not dispute that the payments were
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1 made or that the good were retained. This is sufficient to raise a triable issue of fact as to whether
2 Legend ratified Liu's action of entering the Agreement.

3 Accordingly, Defendant's motion for summary judgment is DENIED.

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5 **IT IS SO ORDERED.**

6 Date: _____

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8 The Honorable Evette D. Pennypacker
9 Judge of the Superior Court
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